DBS - RHB Research 2026-05-04: Non-interest Income Lifts 1Q Earnings To A Decent Start

DBS: Non-Interest Income Lifts 1Q Earnings To A Decent Start

- Interestingly, DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) management's guidance was slightly more optimistic compared to that of 4Q25.
- While the Middle East conflict has raisec uncertainties, DBS (https://sginvestors.io/sgx/stock/ credit portfolio remains sound with limit exposure while the balance sheet is soli

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- We still like DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) for its “in-the-bag” 2026F dividend, while there could be room for management to boost dividends next year via a continuation of its ordinary dividend step-up and unutilised share buyback plan of S$2.6bn.

> **1Q26 Results Met Estimates.**

- DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info)’ 1Q26 results in line with reported PATMI of S$2.9bn (+1% y-o-y, +24% q-o-q) making up 26-27% of our and consensus FY26F earnings (4Q is typically a softer quarter).
- 1Q26 ROE stood at a solid 17% (FY25: 16.2%) while the fully phased-in CET-1 ratio was 14.8% (4Q25: 15%).
- As expected, an interim dividend of 66 cents and a capital return dividend of 15 cents were declared (1Q25: interim dividend 60 cents and a capital return dividend of 15 cents). See DBS's dividends (https://sginvestors.io/sgx/stock/d05-dbs/corporate-action) payout date.

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Results Highlights.

- 1Q26 operating income ticked 1% higher y-o-y led by robust non-II (+10% y-o-y, +41% q-o-q) thanks to its wealth management performance, which lifted wealth fees and treasury customer sales to new highs. Transaction service fees also hit a new high. NII, though, eased 5% y-o-y (-3% q-o-q) on lower NIM (-23bps y-o-y, -4bps q-o-q) and a stronger S$, cushioned by hedging and balance sheet growth.
- Loans rose 4% y-o-y (+6%, constant-currency) led by non-trade corporate and wealth loans.
- Asset quality was resilient as new NPA formation was low and more than offset by repayments and write-offs. Therefore, NPL ratio and NPA coverage were stable q-o-q at 1% and 131%, while SP charge was just 14bps.
- Q-o-q, PATMI jumped 24%, reflecting a combination of seasonally stronger operating income, opex normalisation, and lower SP charge – the 4Q25 uptick was due to prudent downgrade of a performing real estate account in Hong Kong.

Briefing Highlights.

- DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) fine-tuned its 2026 outlook with a positive tilt as it omitted its earlier guidance for net profit to be slightly below 2025 levels. Hedging opportunities (S$60bn of hedges rolling off ahead but yield dilution is now guided for 40bps from 50bps previously) and stronger expected deposit growth should be positive for NII, while there could be upside to non-II if market sentiment stays strong. A slight slowdown in the wealth momentum in early April has picked up in recent weeks.
- On asset quality, its S$2.4bn GP overlays look sufficient to cover potential losses in unexpected scenarios. It is watchful over the India and Indonesia situation, but last year's derisking for SME and unsecured consumer looks timely and the real estate space in Hong Kong seems to be recovering.

- While there was no commitment to continue with the S$0.24 cent step-up in absolute annual ordinary dividend beyond 2026, DBS thinks it is possible unless macroeconomic conditions turn out worse than expected.

Earnings Revision And Target Price

- FY26-28F PATMI tweaked up by 2% pa on higher non-II leading to revised DBS's target price (https://sginvestors.io/sgx/stock/d05-dbs/target-price) of S$64 (includes unchanged 2% ESG premium) from S$63.50, 9% upside, ~6% yield.
- Keep BUY.

Above is an excerpt from a report by RHB Securities Research.
Clients of RHB may be the first to access the full PDF report @ https://www.rhbtradesmart.com/ (https://www.rhbtradesmart.com/).

Analyst: Singapore Research NA
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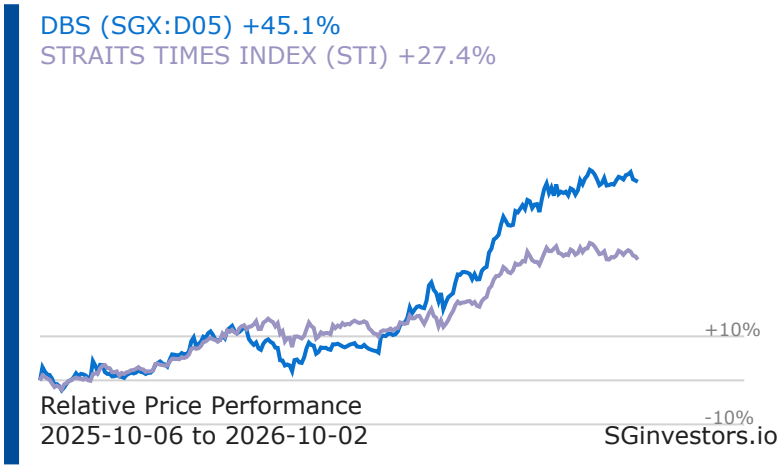
Read also RHB's most recent report:
2026-08-07 **DBS - Valuations And Share Price To Stay Higher For Longer?** (https://sginvestors.io/analysts/research/2026/08/dbs-rhb-research-2026-08-07).

Previous report by RHB:
2026-07-14 **DBS - Expecting Resiliency For Upcoming 2Q26 Results; BUY** (https://sginvestors.io/analysts/research/2026/07/dbs-rhb-research-2026-07-14).

Price targets by 4 other brokers at **DBS Target Prices (https://sginvestors.io/sgx/stock/d05-dbs/target-price)**.

Listing of research reports at **DBS Analyst Reports (https://sginvestors.io/sgx/stock/d05-dbs/analyst-report)**.

Relevant links:
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